income from abroad. GNP includes five types of final goods and services :

(1) value of final consumer goods and services produced in a year to satisfy the immediate wants of the people which is referred to as consumption (C);

(2) gross private domestic investment in capital goods consisting of fixed capital formation, residential construction and inventories of finished and unfinished goods which is called gross investment (I) ;

(3) goods and services produced or purchased by the government which is denoted by (G) ; and

(4) net exports of goods and services, i.e., the difference between value of exports and imports of goods and services, known as (X-M) ; Net factor incomes from abroad which refers to the difference between factor incomes (wage, interest, profits) received from abroad by normal residents of India and factor incomes paid to the foreign residents for factor services rendered by them in the domestic territory in India (R-P);

(5) GNP at market prices means the gross value of final goods and services produced annually in a country plus net factor income from abroad (C + I + G + (X-M) + (R-P)).

GNP at Market Prices = GDP at Market Prices + Net Factor income from Abroad.

2.4.3 Net National Product (NNP) (at Market price)

Net National Product refers to the value of the net output of the economy during the year. NNP is obtained by deducting the value of depreciation, or replacement allowance of the capital assets from the GNP. It is expressed as,

NNP = GNP – depreciation allowance.

(depreciation is also called Capital Consumption Allowance + Indirect taxes)

2.4.4 NNP at Factor cost

NNP refers to the market value of output. Whereas NNP at factor cost is the total of income payment made to factors of production. Thus from the money value of NNP at market price, we deduct the amount of indirect taxes and add subsidies to arrive at the net national income at factor cost.

NNP at factor cost = NNP at Market prices – Indirect taxes + Subsidies.

2.4.5 Personal Income

Personal income is the total income received by the individuals of a country from all sources before payment of direct taxes in a year. Personal income is never equal to the national income, because the former includes the transfer payments whereas they are not included in national income. Personal income is derived from national income by deducting undistributed corporate profit, and employees' contributions to social security schemes and adding transfer payment.

Personal Income = National Income – (Social Security Contribution and undistributed corporate profits) + Transfer payments

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